

Bermuda Statutory Financial statements

As of December 31, 2025, and 2024

Global Atlantic Re Limited

(a wholly-owned subsidiary of Global Atlantic Limited (Delaware))



STATUTORY BALANCE SHEET

 Global Atlantic Re Limited
 As at **31 December 2025**
 expressed **United States Dollars**

FORM 1SFS

STMT. LINE No.		General Business		Long-Term Business		General & Long-Term Business	
		Unconsolidated		Unconsolidated		Consolidated	
		2025	2024	2025	2024	2025	2024
		('000s)	('000s)	('000s)	('000s)	('000s)	('000s)
1.	CASH AND CASH EQUIVALENTS	1,500	1,500	707,660	671,370	880,764	903,383
2.	QUOTED INVESTMENTS:						
(a)	Bonds and Debentures						
	i. Held to maturity	-	-	-	-	-	-
	ii. Other	-	-	11,748,170	9,487,618	18,047,937	16,210,518
(b)	Total Bonds and Debentures	-	-	11,748,170	9,487,618	18,047,937	16,210,518
(c)	Equities						
	i. Common stocks	-	-	-	55,058	-	55,058
	ii. Preferred stocks	-	-	55,762	-	60,981	-
	iii. Mutual Funds	-	-	-	-	-	-
(d)	Total equity investments	-	-	55,762	55,058	60,981	55,058
(e)	Other quoted investments	-	-	76,696	-	113,261	-
(f)	Total quoted investments	-	-	11,880,627	9,542,676	18,222,179	16,265,576
3.	UNQUOTED INVESTMENTS:						
(a)	Bonds and Debentures						
	i. Held to maturity	-	-	-	-	-	-
	ii. Other	-	-	-	-	-	-
(b)	Total Bonds and Debentures	-	-	-	-	-	-
(c)	Equities						
	i. Common stocks	-	-	-	-	-	-
	ii. Preferred stocks	-	-	-	-	-	-
	iii. Mutual Funds	-	-	-	-	-	-
(d)	Total equity investments	-	-	-	-	-	-
(e)	Other unquoted investments	-	-	830,717	50,196	899,637	66,671
(f)	Total unquoted investments	-	-	830,717	50,196	899,637	66,671
4.	INVESTMENTS IN AND ADVANCES TO AFFILIATES (EQUITY METHOD):						
(a)	Unregulated entities that conduct ancillary services	-	-	-	-	-	-
(b)	Unregulated non-financial operating entities	-	-	-	-	-	-
(c)	Unregulated financial operating entities	-	-	73,980	18,285	-	-
(d)	Regulated non-insurance financial operating entities	-	-	-	-	-	-
(e)	Regulated insurance financial operating entities	-	-	719,317	576,684	-	-
(f)	Total investments in affiliates (equity method)	-	-	793,297	594,969	-	-
(g)	Advances to affiliates	-	-	758,700	758,700	758,700	758,700
(h)	Total investments in and advances to affiliates (equity method)	-	-	1,551,997	1,353,669	758,700	758,700
5.	INVESTMENTS IN MORTGAGE LOANS ON REAL ESTATE:						
(a)	First liens	-	-	4,814,212	4,406,087	6,183,751	6,004,069
(b)	Other than first liens	-	-	-	-	-	-
(c)	Total investments in mortgage loans on real estate	-	-	4,814,212	4,406,087	6,183,751	6,004,069
6.	POLICY LOANS			804	903	804	903
7.	REAL ESTATE:						
(a)	Occupied by the company (less encumbrances)	-	-	-	-	-	-
(b)	Other properties (less encumbrances)	-	-	-	-	-	-
(c)	Total real estate	-	-	-	-	-	-
8.	COLLATERAL LOANS	-	-	-	-	-	-
9.	INVESTMENT INCOME DUE AND ACCRUED	-	-	172,576	136,013	235,593	208,293
10.	ACCOUNTS AND PREMIUMS RECEIVABLE:						
(a)	In course of collection	-	-	92	120	92	120
(b)	Deferred - not yet due	-	-	-	-	-	-
(c)	Receivables from retrocessional contracts	-	-	-	-	-	-
(d)	Total accounts and premiums receivable	-	-	92	120	92	120
11.	REINSURANCE BALANCES RECEIVABLE:						
(a)	Foreign affiliates	-	-	901,353	319,279	901,353	319,279
(b)	Domestic affiliates	-	-	-	-	-	-
(c)	Pools & associations	-	-	-	-	-	-
(d)	All other insurers	-	-	214,056	284,155	329,966	289,964
(e)	Total reinsurance balances receivable	-	-	1,115,409	603,434	1,231,319	609,243
12.	FUNDS HELD BY CEDING REINSURERS:	-	-	76,266,476	65,682,354	76,266,476	65,682,354
13.	SUNDRY ASSETS:						
(a)	Derivative instruments	-	-	-	-	-	-
(b)	Segregated accounts companies - long-term business - variable annuities	-	-	-	-	-	-
(c)	Segregated accounts companies - long-term business - others	-	-	-	-	-	-
(d)	Segregated accounts companies - general business	-	-	-	-	-	-

STATUTORY BALANCE SHEET

Global Atlantic Re Limited
 As at **31 December 2025**
 expressed **United States Dollars**

FORM 1SFS

STMT. LINE No.		General Business		Long-Term Business		General & Long-Term Business	
		Unconsolidated		Unconsolidated		Consolidated	
		2025	2024	2025	2024	2025	2024
(e)	Deposit assets	-	-	-	-	-	-
(f)	Deferred acquisition costs	-	-	-	-	-	-
(g)	Net receivables for investments sold	-	-	11,084	-	37,913	25,069
(h)	Deferred Tax Asset	-	-	29,514	43,010	27,578	41,075
(i)	Insurance Intangibles	-	-	3,666,001	3,456,122	3,691,106	3,481,212
(j)	Current Tax and other sundry assets	-	-	32,212	125,274	33,268	125,274
(k)	Total sundry assets	-	-	3,738,811	3,624,406	3,789,866	3,672,630
14.	LETTERS OF CREDIT, GUARANTEES AND OTHER INSTRUMENTS:						
(a)	Letters of credit	-	-	-	-	-	-
(b)	Guarantees	-	-	-	-	-	-
(c)	Other instruments	-	-	-	-	-	-
(e)	Total letters of credit, guarantees and other instruments	-	-	-	-	-	-
15.	TOTAL	1,500	1,500	101,079,381	86,071,228	108,469,181	94,171,942
INSURANCE RESERVES, OTHER LIABILITIES AND STATUTORY CAPITAL AND SURPLUS							
INSURANCE RESERVES							
16.	UNEARNED PREMIUM RESERVE						
(a)	Gross unearned premium reserves	-	-			-	-
(b)	Less: Ceded unearned premium reserve						
	i. Foreign affiliates	-	-			-	-
	ii. Domestic affiliates	-	-			-	-
	iii. Pools & associations	-	-			-	-
	iv. All other insurers	-	-			-	-
(c)	Total ceded unearned premium reserve	-	-			-	-
(d)	Net unearned premium reserves	-	-			-	-
17.	LOSS AND LOSS EXPENSE PROVISIONS:						
(a)	Gross loss and loss expense provisions	-	-			-	-
(b)	Less: Reinsurance recoverable balance						
	i. Foreign affiliates	-	-			-	-
	ii. Domestic affiliates	-	-			-	-
	iii. Pools & associations	-	-			-	-
	iv. All other insurers	-	-			-	-
(c)	Total reinsurance recoverable balance	-	-			-	-
(d)	Net loss and loss expense provisions	-	-			-	-
18.	OTHER INSURANCE RESERVES	-	-			-	-
19.	TOTAL GENERAL BUSINESS - INSURANCE RESERVES	-	-			-	-
LONG-TERM BUSINESS INSURANCE RESERVES							
20.	RESERVES FOR REPORTED CLAIMS			109,242	69,991	109,242	69,991
21.	RESERVES FOR UNREPORTED CLAIMS			-	-	-	-
22.	POLICY RESERVES - LIFE			7,787,022	7,940,340	10,106,806	10,302,649
23.	POLICY RESERVES - ACCIDENT AND HEALTH			-	-	-	-
24.	POLICYHOLDER'S FUNDS ON DEPOSIT			-	-	-	-
25.	LIABILITY FOR FUTURE POLICYHOLDER DIVIDENDS			-	-	-	-
26.	OTHER LONG-TERM BUSINESS INSURANCE RESERVES			49,508,209	45,137,414	52,602,963	48,926,227
27.	TOTAL LONG-TERM BUSINESS INSURANCE RESERVES						
(a)	Total Gross Long-Term Business Insurance Reserves			95,229,247	82,642,875	100,125,172	87,769,983
(b)	Less: Reinsurance Recoverable Balance:						
	(i) Foreign Affiliates			-	-	-	-
	(ii) Domestic Affiliates			10,992,807	6,496,849	8,132,784	2,976,205
	(iii) Pools and Associations			-	-	-	-
	(iv) All Other Insurers			26,831,966	22,998,281	29,173,377	25,494,911
(c)	Total Reinsurance Recoverable Balance			37,824,774	29,495,130	37,306,160	28,471,116
(d)	Net Long-Term Business Insurance Reserves			57,404,473	53,147,745	62,819,011	59,298,867
OTHER LIABILITIES							
28.	INSURANCE AND REINSURANCE BALANCES PAYABLE	-	-	731,083	415,120	878,949	454,290
29.	COMMISSIONS, EXPENSES, FEES AND TAXES PAYABLE	-	-	-	-	-	-
30.	LOANS AND NOTES PAYABLE	-	-	-	-	-	-
31.	(a) INCOME TAXES PAYABLE	-	-	-	-	-	-
	(b) DEFERRED INCOME TAXES	-	-	-	-	-	-
32.	AMOUNTS DUE TO AFFILIATES	-	-	1,176	7,253	798	8,841
33.	ACCOUNTS PAYABLE AND ACCRUED LIABILITIES	-	-	12,793	12,914	13,153	12,431

STATUTORY BALANCE SHEET

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expressed **United States Dollars**

FORM 1SFS

STMT. LINE No.		General Business Unconsolidated		Long-Term Business Unconsolidated		General & Long-Term Business Consolidated	
		2025	2024	2025	2024	2025	2024
34.	FUNDS HELD UNDER REINSURANCE CONTRACTS:	-	-	37,702,573	28,200,497	39,481,876	30,071,591
35.	DIVIDENDS PAYABLE	-	-	-	-	-	-
36.	SUNDRY LIABILITIES:						
(a)	Derivative instruments	-	-	60,432	59,483	90,186	95,251
(b)	Segregated accounts companies	-	-	-	-	-	-
(c)	Deposit liabilities	-	-	-	-	-	-
(d)	Net payable for investments purchased	-	-	-	4,891	-	-
(e)	Other sundry liabilities (specify)	-	-	-	-	-	-
(f)	Other sundry liabilities (specify)	-	-	-	-	-	-
(g)	Other sundry liabilities (specify)	-	-	-	-	-	-
(h)	Total sundry liabilities	-	-	60,432	64,374	90,186	95,251
37.	LETTERS OF CREDIT, GUARANTEES AND OTHER INSTRUMENTS:						
(a)	Letters of credit	-	-	-	-	-	-
(b)	Guarantees	-	-	-	-	-	-
(c)	Other instruments	-	-	-	-	-	-
(d)	Total letters of credit, guarantees and other instruments	-	-	-	-	-	-
38.	TOTAL OTHER LIABILITIES	-	-	38,508,057	28,700,159	40,464,962	30,642,404
39.	TOTAL INSURANCE PROVISIONS AND OTHER LIABILITIES	-	-	95,912,530	81,847,904	103,283,973	89,941,271
STATUTORY CAPITAL AND SURPLUS							
40.	TOTAL STATUTORY CAPITAL AND SURPLUS	1,500	1,500	5,166,851	4,223,324	5,185,207	4,230,671
41.	TOTAL	1,500	1,500	101,079,381	86,071,228	108,469,181	94,171,942
		TRUE	TRUE	TRUE	TRUE	TRUE	TRUE

Notes to Form 1SFS

Line 10	Collateralized balances		-	-
Line 11(e)	Collateralized balances		-	-
Line 17(c)	Collateral placed in favor of the insurer		-	-
Line 27(c)	Collateral placed in favor of the insurer		36,803,694	-
Line 13	Sundry assets		-	-
Line 15	Encumbered assets for policyholder obligations			
	Asset	Purpose of Encumbrance		
	Cash and cash equivalents		-	-
	Total quoted investments	Coinsurance Assets held in trusts required balance	7,084,981	6,010,051
	Total unquoted investments		-	-
	Funds held by ceding reinsurers	Supports LT Insurance Reserves	76,266,476	65,682,354
	Other assets		-	-
	Total encumbered assets		83,351,457	71,692,405
Line 15	Encumbered assets not securing policyholder obligations			
	Asset	Purpose of Encumbrance		
	Cash and cash equivalents		-	-
	Total quoted investments		-	-
	Total unquoted investments		-	-
	Other assets		-	-
	Total encumbered assets		-	-
Line 36	Sundry liabilities		-	-
Line 37	Letters of Credit, Guarantees and other Instruments		-	-
General Business				
Line 17	Reasons for the change in the net losses incurred and net loss expenses incurred related to prior years and indicate whether additional premiums or return premiums have been accrued as a result of the prior year effects.		-	-
Line 17	Gross loss and loss expense provisions at beginning of year		-	-
	Less: Reinsurance recoverable at beginning of year		-	-
	Net loss and loss expense provisions at beginning of year		-	-
	Acquisition / Sale of loss reserves (net):		-	-
	Net losses incurred and net loss expenses incurred related to:			
	Current year		-	-

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FORM 1SFS

STMT.

LINE No.

Prior years

Total net incurred losses & loss expenses

Net losses and loss expenses paid or payable related to:

Current year

Prior years

Total losses and loss expenses paid or payable

Foreign exchange and other

Net loss and loss expense provisions at end of year

Add: Reinsurance recoverable at end of year

Gross loss and loss expense provisions at end of year

Difference

General Business	
Unconsolidated	
2025	2024

Long-Term Business	
Unconsolidated	
2025	2024

General & Long-Term Business	
Consolidated	
2025	2024

-	-
-	-
-	-
-	-
-	-
-	-
-	-
-	-
-	-
-	-
TRUE	TRUE

Long-Term Business

Line 27

CURRENT YEAR

Balance - Beginning of Year

Impact of Terminations

Impact of New Business

Normal Change in force

Management Actions and Changes in Assumptions

Impact of Foreign Exchange rate changes

Balance - End of Year

PRIOR YEAR

Balance - Beginning of Year

Impact of Terminations

Impact of New Business

Normal Change in force

Management Actions and Changes in Assumptions

Impact of Foreign Exchange rate changes

Balance - End of Year

Insurance Contracts

Gross	Reinsurance	Net
82,642,875	29,495,130	53,147,745
(7,096,087)	(1,853,541)	(5,242,546)
18,266,538	10,337,050	7,929,489
1,397,439	(176,098)	1,573,536
18,482	22,233	(3,752)
-	-	-
95,229,247	37,824,774	57,404,473

Investment Contracts

Gross	Reinsurance	Net
-	-	-
-	-	-
-	-	-
-	-	-
-	-	-
-	-	-
-	-	-

64,860,661	17,761,599	47,099,062
(7,452,098)	(1,685,335)	(5,766,763)
25,556,032	14,013,188	11,542,843
(246,426)	(590,583)	344,157
(75,293)	(3,739)	(71,554)
-	-	-
82,642,875	29,495,130	53,147,745

-	-	-
-	-	-
-	-	-
-	-	-
-	-	-
-	-	-
-	-	-



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STATUTORY STATEMENT OF INCOME

Global Atlantic Re Limited

For the year ending 31 December 2025
expressed in '000s United States Dollars

FORM 2SFS

STMT.
LINE No.

GENERAL BUSINESS UNDERWRITING INCOME

	General Business Unconsolidated		Long-Term Business Unconsolidated		General and Long-Term Business Consolidated	
	2025 (^{'000s})	2024 (^{'000s})	2025 (^{'000s})	2024 (^{'000s})	2025 (^{'000s})	2024 (^{'000s})
1. GROSS PREMIUMS WRITTEN:						
(a) Direct gross premiums written	-	-			-	-
(b) Assumed gross premiums written	-	-			-	-
(c) Total gross premiums written	-	-			-	-
2. REINSURANCE PREMIUMS CEDED	-	-			-	-
3. NET PREMIUMS WRITTEN	-	-			-	-
4. INCREASE (DECREASE) IN UNEARNED PREMIUMS	-	-			-	-
5. NET PREMIUMS EARNED	-	-			-	-
6. OTHER INSURANCE INCOME	-	-			-	-
7.	-	-			-	-
GENERAL BUSINESS UNDERWRITING EXPENSES						
8. NET LOSSES INCURRED AND NET LOSS EXPENSES INCURRED	-	-			-	-
9. COMMISSIONS AND BROKERAGE	-	-			-	-
10.	-	-			-	-
11. NET UNDERWRITING PROFIT (LOSS) - GENERAL BUSINESS	-	-			-	-

LONG-TERM BUSINESS UNDERWRITING INCOME

12. GROSS PREMIUMS AND OTHER CONSIDERATIONS:						
(a) Direct gross premiums and other considerations			-	-	-	-
(b) Assumed gross premiums and other considerations	4,825,368	7,091,001	4,861,645	7,127,410	4,861,645	7,127,410
(c) Total gross premiums and other considerations	4,825,368	7,091,001	4,861,645	7,127,410	4,861,645	7,127,410
13. PREMIUMS CEDED	3,395,942	5,179,605	3,400,528	5,183,689	3,400,528	5,183,689
14. NET PREMIUMS AND OTHER CONSIDERATIONS:						
(a) Life	219,353	1,150,194	250,529	1,181,834	250,529	1,181,834
(b) Annuities	1,210,073	761,202	1,210,588	761,887	1,210,588	761,887
(c) Accident and health	-	-	-	-	-	-
(d) Total net premiums and other considerations	1,429,426	1,911,396	1,461,117	1,943,721	1,461,117	1,943,721
15. OTHER INSURANCE INCOME	-	-	-	-	-	-
16.	1,429,426	1,911,396	1,461,117	1,943,721	1,461,117	1,943,721

LONG-TERM BUSINESS DEDUCTIONS AND EXPENSES

17. CLAIMS - LIFE	300,040	277,157	349,738	320,514	349,738	320,514
18. POLICYHOLDERS' DIVIDENDS	-	-	-	-	-	-
19. SURRENDERS	5,756,805	6,261,066	5,839,076	6,348,965	5,839,076	6,348,965
20. MATURITIES	2,748	21,198	61,288	23,784	61,288	23,784
21. ANNUITIES	1,764,568	1,734,287	1,765,276	1,734,528	1,765,276	1,734,528
22. ACCIDENT AND HEALTH BENEFITS	161,985	177,390	161,985	177,390	161,985	177,390
23. COMMISSIONS	(5,666)	136,668	(4,973)	141,366	(4,973)	141,366
24. OTHER	256,515	207,517	284,569	235,453	284,569	235,453
25.	8,236,995	8,815,283	8,456,959	8,982,000	8,456,959	8,982,000
26. INCREASE (DECREASE) IN POLICY RESERVES:						
(a) Life	(142,751)	772,533	(223,979)	670,144	(223,979)	670,144
(b) Annuities	(4,057,395)	(5,901,527)	(4,094,556)	(5,844,940)	(4,094,556)	(5,844,940)
(c) Accident and health	-	-	-	-	-	-
(d) Total increase (decrease) in policy reserves	(4,200,146)	(5,128,994)	(4,318,536)	(5,174,796)	(4,318,536)	(5,174,796)
27.	4,036,849	3,686,289	4,138,423	3,807,204	4,138,423	3,807,204
28. NET UNDERWRITING PROFIT (LOSS) - LONG-TERM BUSINESS	(2,607,423)	(1,774,893)	(2,677,306)	(1,863,483)	(2,677,306)	(1,863,483)
29. COMBINED NET UNDERWRITING PROFIT (LOSS) BEFORE THE UNDERNOTED ITEMS	-	-	(2,607,423)	(1,774,893)	(2,677,306)	(1,863,483)

UNDERNOTED ITEMS

30. COMBINED OPERATING EXPENSES:						
(a) General and administrative	-	-	21,874	26,060	26,690	31,861
(b) Personnel Costs	-	-	-	-	-	-
(c) Other	-	-	-	-	-	-
(d) Total combined operating expenses	-	-	21,874	26,060	26,690	31,861


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STATUTORY STATEMENT OF INCOME
Global Atlantic Re Limited

For the year ending **31 December 2025**
expressed in ['000s] **United States Dollars**
FORM 2SFS

STMT. LINE No.		General Business		Long-Term Business		General and Long-Term Business	
		Unconsolidated		Unconsolidated		Consolidated	
		2025	2024	2025	2024	2025	2024
31.	COMBINED INVESTMENT INCOME - NET	-	-	2,717,024	2,365,497	2,826,807	2,503,676
32.	COMBINED OTHER INCOME (DEDUCTIONS)	-	-	(285,675)	13,647	-	-
33.	COMBINED INCOME BEFORE TAXES	-	-	(197,949)	578,191	122,811	608,332
34.	COMBINED INCOME TAXES (IF APPLICABLE):						
	(a) Current	-	-	10,052	47,189	10,052	47,189
	(b) Deferred	-	-	(14,747)	23,635	(14,747)	23,660
	(c) Total	-	-	(4,695)	70,824	(4,695)	70,849
35.	COMBINED INCOME BEFORE REALIZED GAINS (LOSSES)	-	-	(193,254)	507,367	127,506	537,483
36.	COMBINED REALIZED GAINS (LOSSES)	-	-	106,492	(259,687)	(129,865)	(303,722)
37.	COMBINED INTEREST CHARGES	-	-	-	-	-	-
38.	NET INCOME	-	-	(86,761)	247,680	(2,359)	233,761

STATUTORY STATEMENT OF CAPITAL AND SURPLUS

Global Atlantic Re Limited

 For the year ending **31 December 2025**
 expressed in ['000s] **United States Dollars**
FORM 8SFS
STMT.
LINE No.

	General Business		Long-Term Business		General and Long-Term Business	
	Unconsolidated		Unconsolidated		Consolidated	
	2025	2024	2025	2024	2025	2024
	('000s)	('000s)	('000s)	('000s)	('000s)	('000s)
1. STATUTORY CAPITAL						
(a) Capital Stock	120	120	250	250		
(i) Common Shares					370	370
authorized	370,000					
value	\$ 1,000					
fully paid	370,000					
(ii) Preferred Shares					-	-
authorized						
value						
fully paid						
aggregate liquidation value for —						
2025						
2024						
(iii) Treasury Shares					-	-
repurchased						
value						
(b) Contributed surplus	1,380	1,380	4,016,281	3,381,457	4,017,668	3,382,837
(c) Any other fixed capital						
(i) Hybrid capital instruments	-	-	-	-	-	-
(ii) Guarantees and others	-	-	-	-	-	-
(iii) Total any other fixed capital	-	-	-	-	-	-
(d) Total Statutory Capital	1,500	1,500	4,016,531	3,381,707	4,018,038	3,383,207
2. STATUTORY SURPLUS:						
(a) Statutory Surplus - Beginning of Year	-	14,913	841,618	699,827	847,464	718,911
(b) Add: Income for Year	-	-	(86,761)	247,680	(2,359)	233,761
(c) Less: Dividends paid and payable	-	-	-	(180,000)	-	(180,000)
(d) Add (Deduct): Change in unrealized appreciation (depreciation) of investments	-	-	635,589	(4,101)	562,190	11,493
(e) Add (Deduct): Change in non-admitted assets	-	-	-	-	-	-
(f) Add (Deduct): Change in appraisal of real estate	-	-	-	-	-	-
(g) Add (Deduct): Change in any other statutory capital	-	(14,913)	(240,125)	78,211	(240,125)	63,299
(h) Statutory Surplus - End of Year	-	-	1,150,320	841,617	1,167,170	847,464
3. MINORITY INTEREST	-	-	-	-	-	-
4. TOTAL STATUTORY CAPITAL AND SURPLUS	1,500	1,500	5,166,851	4,223,324	5,185,207	4,230,671

Change in other statutory capital and surplus

Line 2g Change in any other statutory capital

Line 4 Total Statutory Capital & Surplus

Refer to Schedule V(g)

1. Nature of business and basis of presentation

Global Atlantic Re Limited ("Global Atlantic Re," the "Company," we, our, or us) is a Bermuda registered company and wholly-owned subsidiary of Global Atlantic Limited (Delaware) ("GALD," "Global Atlantic," or "GALD"), a Delaware registered corporation. GALD is an indirect wholly-owned subsidiary of The Global Atlantic Financial Group LLC ("TGAFG"), a Bermuda registered company.

The Company is registered under the Insurance Act 1978 as a Class C and Class 3A insurer. The Company assumes individual and institutional reinsurance solutions; the transactions include reinsurance of life and retirement blocks, funding agreements, pension risk transfer, and the reinsurance of a share of future premiums ("flow reinsurance"). The consolidated financial statements reflect the reinsurance transactions entered into between Global Atlantic Re and affiliated and non-affiliated counterparties. These reinsurance transactions comprise block reinsurance, funding agreements, pension risk transfer and flow reinsurance transactions, as described in Note 8 — "Reinsurance."

KKR initial acquisition of Global Atlantic Financial Group Limited

On February 1, 2021, KKR & Co. Inc. (together with its subsidiaries, "KKR") completed the acquisition of the Company's ultimate parent, Global Atlantic Financial Group Limited ("GAFG"), by Magnolia Parent LLC ("Magnolia"), a KKR subsidiary, as contemplated by the Agreement and Plan of Merger, dated July 7, 2020 (as amended, the "2021 Merger Agreement"), by and among GAFG, Global Atlantic Financial Life Limited ("GAFL"), Magnolia, Magnolia Merger Sub Limited ("Merger Sub"), LAMC LP, and Goldman Sachs & Co. LLC, solely in its capacity as the equity representative, referred to here-in as the "2021 KKR Acquisition." The total purchase price for the transaction was \$4.7 billion. Upon the conclusion of the acquisition, Magnolia was renamed to TGAFG.

KKR subsequent acquisition of remaining non-controlling interests in The Global Atlantic Financial Group

On January 2, 2024, KKR completed the merger previously announced on November 29, 2023, as contemplated by the Agreement and Plan Merger, (the "2023 Merger Agreement") by and among KKR Magnolia Holdings LLC ("Magnolia Holdings"), an indirect subsidiary of KKR, Sweetbay Merger Sub LLC, a direct subsidiary of Magnolia Holdings ("Merger Sub") and The Global Atlantic Financial Group and together with its subsidiaries, Global Atlantic, pursuant to which KKR acquired the remaining portion of Global Atlantic that KKR did not already own (the "2024 KKR Acquisition"). At the closing of the transaction (the "Closing"), Merger Sub merged with and into TGAFG, with TGAFG surviving the merger, resulting in Global Atlantic becoming a wholly owned subsidiary of KKR.

Following the merger, the Company's parent was re-domesticated from Bermuda to Delaware, and changed its name to Global Atlantic Limited (Delaware).

Significant transactions

In June 2024, the Board of Directors of the Company, Global Atlantic Assurance Limited ("GAAL"), a Bermuda domiciled company, and GALD voted to proceed with an internal reorganization of certain subsidiaries in the second quarter of 2024 to simplify the corporate structure, or the "Reorganization."

On June 30, 2024, GA Re Bermuda HoldCo Limited ("GA Bermuda HoldCo"), a Bermuda exempted company, and Global Atlantic Re Limited U.S. HoldCo ("GA Delaware HoldCo") a Delaware corporation, merged with and into GALD, with GALD surviving the Reorganization, resulting in the Company becoming

Additional Disclosures to the Statutory Financial Statements

a direct, wholly-owned subsidiary of GALD. Prior to June 30, 2024, the Company was jointly owned by GALD, a 75% owner, and by GA Delaware HoldCo, a 25% owner. As GALD held controlling interests both in the Company and GA Delaware HoldCo, the transaction was considered to be a transaction between entities under common control.

Concurrently, on June 30, 2024, GALD also contributed all of its common stock in GAAL to GA Re, resulting in GAAL becoming a direct, wholly-owned subsidiary of GA Re. The contribution of GAAL's ownership to GA Re by GALD, a common parent, was considered to be a transaction between entities under common control. Accordingly, the contribution of GAAL's ownership to GA Re was accounted for on a carryover basis whereby GAAL was recorded based on GALD's historical carrying amounts in the GA Re's financial statements.

2. Basis of presentation and significant accounting policies

Investments

In the normal course of business, the Company enters into transactions involving various types of investments.

Investments include the following: U.S. government and agency obligations; commercial mortgage-backed securities ("CMBS"), residential mortgage-backed securities ("RMBS"), collateralized loan obligations ("CLOs"), collateralized bond obligations ("CBOs") and all other structured securities, consisting primarily of asset-backed securities ("ABS") (collectively, "structured securities"); corporate bonds; state and political subdivision obligations; foreign government obligations; equity securities; mortgage and other loan receivables; policy loans; and other non-derivative investments.

Available-for-sale fixed maturity securities

The Company primarily accounts for its fixed maturity securities (including bonds and structured securities) as available-for-sale ("AFS"). AFS fixed maturity securities are generally recorded on a trade-date basis, and are carried at fair value. Impairment associated with AFS fixed maturity securities is recognized as an allowance for credit losses. The allowance for credit losses is established either by a charge to net investment-related gains (losses) in the consolidated statements of income (loss) for securities identified as credit impaired after purchase, or by a gross-up recognition of an initial allowance for purchased credit deteriorated ("PCD") securities.

PCD securities are those purchased by the Company that were assessed at acquisition as having experienced a more-than-insignificant deterioration in credit quality since their origination. The Company considers an AFS fixed maturity security to be PCD if there are indicators of a credit loss at the acquisition date or, in the case of structured securities, if there is a significant difference between contractual cash flows and expected cash flows at acquisition. The initial amortized cost for a PCD security equals the purchase price plus the initial allowance for credit losses. The initial allowance for credit losses is determined using a discounted cash flow method, based on the best estimate of the present value of cash flows expected to be collected. After purchase, the accounting for a PCD security is generally consistent with that applied to all other securities.

Unrealized gains and losses on AFS fixed maturity securities, net of tax, are reported in accumulated other comprehensive income (loss) in the consolidated balance sheets. Realized investment gains and losses are recognized on a first-in, first-out basis, and are reported in net investment-related gains (losses) in the consolidated statements of income (loss). The amortized cost of fixed maturity securities is adjusted for impairment charge-offs, amortization of premiums, and accretion of discounts. Such amortization and accretion is calculated using the effective yield method and included in net investment income (loss) in the consolidated statements of income (loss).

For structured securities, the Company recognizes interest income utilizing a constant effective yield based on estimated cash flows generated from internal models utilizing interest rate, default and prepayment assumptions. Effective yields for structured securities that are not of high credit quality are recalculated and adjusted prospectively based on changes in expected undiscounted future cash flows, after consideration of any appropriate recognition or release of an allowance for credit losses. For structured securities that are of high credit quality, effective yields are recalculated based on payments received and updated prepayment expectations, and amortized cost is adjusted to the amount that would have existed had the new effective yield been applied since acquisition, with a corresponding charge or credit to net investment income (loss). Prepayment fees are recorded when earned in net investment income in the consolidated statements of income (loss).

The Company generally suspends accrual of interest for securities that are more than 90 days past due, and reverses any related accrued interest to net investment income (loss) in the consolidated statements of income (loss). When a security is in non-accrual status, coupon payments are recognized as interest income as cash is received, subject to consideration as to the overall collectability of the security. A security is returned to accrual status when the Company determines that the collection of amounts due is probable. The allowance for credit losses excludes accrued interest from the amortized cost basis for which losses are estimated.

Trading fixed maturity securities

The Company accounts for certain fixed maturity securities as trading at acquisition, based on intent or via the election of the fair value option. Trading securities are generally recorded on a trade-date basis and are carried at fair value, with realized and unrealized gains and losses reported in net investment-related gains (losses) in the consolidated statements of income (loss). Interest income from these securities is reported in net investment income (loss). Trading securities, which are primarily used to match asset and liability accounting, back funds withheld payable at interest where the investment performance is ceded to reinsurers under the terms of the respective reinsurance agreements.

Equity securities

The Company accounts for its investments in equity securities (including common stock and non-redeemable preferred stock) that do not require equity method accounting or result in consolidation, at fair value. Realized and unrealized investment gains and losses are reported in net investment-related gains (losses) in the consolidated statements of income (loss).

Mortgage and other loan receivables

The Company purchases mortgage and other loan receivables, and these loans are carried at cost, less the allowance for credit losses and as adjusted for amortization/accretion of premiums/discounts. The allowance for credit losses is established either by a charge to net investment-related gains (losses) in the consolidated statements of income (loss) or, for PCD mortgage and other loan receivables, by a gross-up recognition of the initial allowance in the consolidated balance sheets.

PCD mortgage and other loan receivables are those purchased by the Company that were assessed at acquisition as having experienced a more-than-insignificant deterioration in credit quality since their origination. PCD mortgage and other loan receivables also include those mortgage and other loan receivables previously held by the Company that were similarly assessed at the time of the 2021 KKR Acquisition. The initial amortized cost for a PCD mortgage or other loan receivable equals the purchase price plus the initial allowance for credit losses. The initial allowance for credit losses is determined using a method consistent with that used for other similar loans. See further discussion of allowance methods below. After purchase, the accounting for a PCD mortgage or other loan receivable is consistent with that applied to all other mortgage and other loan receivables.

The Company has elected the fair value option for certain mortgage and other loan receivables, when purchased or originated. Changes in the fair value of these mortgage and other loan receivables are reported in net investment related gains (losses) in the consolidated statements of income (loss).

Interest income is accrued on the principal balance of each loan based on its contractual interest rate. The accrual of interest is generally suspended when the collection of interest is no longer probable or the collection of any portion of principal is doubtful. The Company generally suspends accrual of interest for loans that are more than 90 days past due and reverses any related accrued interest to net investment income (loss) in the consolidated statements of income (loss). When a loan is in non-accrual status, coupon payments are generally recognized as interest income as cash is received, subject to

consideration as to the overall collectability of the loan. A loan is returned to accrual status when the Company determines that the collection of amounts due is probable. The allowance for credit losses excludes accrued interest from the amortized cost basis for which losses are estimated.

Policy loans

Policy loans are loans policyholders take out against their life insurance policies. Each policy loan is fully collateralized by the cash surrender value of the policyholder's life insurance policy. Policy loans are carried at unpaid principal balances. Interest income on such loans is recognized as earned using the contractually agreed upon interest rate and reflected in net investment income (loss) in the consolidated statements of income (loss). Generally, interest is capitalized on the associated policy's anniversary date.

Funds withheld receivable at interest

Funds withheld receivable at interest represent receivables for amounts contractually withheld by the cedant, in accordance with reinsurance agreements in which the Company acts as the reinsurer. While the assets in funds withheld are legally owned by the ceding company, the assets are separately identified and held in trusts for the benefit of the Company. All economic rights and obligations on the assets accrue to the Company. The assets in the funds withheld segregated accounts are typically managed by an investment manager, who periodically settles the total return from those assets.

The reinsurer has an indirect exposure to the credit risk of the underlying assets of the funds withheld account. As a result, funds withheld coinsurance agreements contain embedded derivatives, which are required to be separated from their host contracts and measured at fair value. The host contract relates to the reinsurance receivable from the cedant under the funds withheld arrangement underlying the reinsurance transactions. The host contract, at inception of the reinsurance arrangement, represented the fair value of the non-cash consideration. The embedded derivative represents the difference between the fair value of the underlying assets and the carrying value of the host contract at the balance sheet date. The fair value of the embedded derivative is included in the funds withheld receivable at interest on the consolidated balance sheets, with changes in fair value recorded in net investment-related gains (losses) in the consolidated statements of income (loss).

Investments segregated in trusts to collateralize the funds withheld receivable at interest include the following: fixed maturity securities, mortgage and other loan receivables, policy loans, other investments, and derivative instruments.

Derivative instruments held within the funds withheld at interest are primarily used to hedge certain risks, including interest rate risk and equity market risk, and to a lesser extent foreign exchange risks. Derivative instruments are generally recognized at estimated fair value in funds withheld receivable at interest on the consolidated balance sheets.

Real assets and other investments

Real assets consist primarily of investments in real estate assets, transportation assets, energy-related assets, and infrastructure assets. Other investments include equity securities, limited partnership interests, and other interests

Real assets in the balance sheets include investments in investment partnerships, for which the Company does not have voting control or power to direct activities. These investments are accounted for using the equity method of accounting unless the Company's interest is so minor that it has virtually no influence over partnership operating or financial policies. The equity method of accounting requires that the investments be initially recorded at cost and the carrying amount of the investment subsequently be adjusted to recognize the Company's share of the earnings and losses of the investee. Where there is a

difference between the cost of the investment and the Company's proportionate share of the equity method investee's net assets, this basis difference is accreted to net investment income (loss) over the life of the underlying assets. In applying the equity method, the Company uses financial information provided by the investee, generally on a one to three month lag due to the timing of the receipt of related financial statements.

The income from the Company's equity method investments is included in net investment income (loss) in the consolidated statements of income (loss). In limited circumstances, the Company elects to apply the fair value option to investment partnerships, which are carried at fair value with unrealized gains and losses reported in net investment-related gains (losses) in the consolidated statements of income (loss). Distributions from investment partnerships that apply equity method accounting are classified as either investing or operating activities within the consolidated statements of cash flows, based on the nature of the distributions.

The Company consolidates investment partnerships and other entities when it has a controlling financial interest. The results of certain consolidated investment entities are reported on a one to three month lag and intervening events are evaluated for materiality and recognition by disclosure or otherwise, as appropriate.

Included in real assets are the Company's investments in renewable energy entities, including partnerships and limited liability companies. Respective investments are consolidated when the Company has a controlling financial interest or are accounted for using the equity method of accounting when the Company has the ability to exercise significant influence but not control. These investments involve tiered capital structures that facilitate a waterfall of returns and allocations to ensure the efficient use of tax credits. A conventional income statement oriented approach to the equity method of accounting, or to the recognition of non-controlling interests (when the Company is consolidating the investment), based on ownership percentages does not accurately reflect the proper allocation of income and cash flows for these investments. Instead, the Company uses the hypothetical liquidation at book value ("HLBV") method which is a balance sheet oriented approach to the equity method of accounting and to the recognition of non-controlling interests that allocates income and cash flows based on changes to each investor's claim to net assets assuming a liquidation of the investee as of each reporting date, including an assessment of the likelihood of liquidation in determining the contractual provisions to utilize when applying the HLBV method.

The income, net of the depreciation and other expenses associated with consolidated real assets is reported in net investment income (loss) in the consolidated statements of income (loss). Income on real assets is generally earned from the lease of the assets or, in the case of energy-related assets, from the contracted sale of the energy generated. Real assets carried at depreciated cost, excluding land, are depreciated on a straight-line basis over their estimated useful lives. As appropriate, depreciation is recognized to the estimated salvage value of the respective asset.

Investments in equity securities are carried at fair value, with changes recognized in net investment-related gains (losses) in the consolidated statements of income (loss).

Derivative instruments

Derivatives are instruments that derive their values from underlying asset prices, indices, foreign exchange rates, reference rates and other inputs or a combination of these factors. Derivatives may be privately negotiated contracts, which are usually referred to as over-the-counter ("OTC") derivatives, or they may be listed and traded on an exchange ("exchange-traded"). The Company's derivative instruments are primarily used to hedge interest rate risk. Where certain criteria are met, some of these hedging arrangements may achieve hedge accounting.

Derivative instruments are recognized at estimated fair value in either funds withheld receivable at interest, other assets, funds withheld payable at interest or derivative liabilities in the consolidated balance sheets, with changes in fair value recorded in net investment-related gains (losses) in the consolidated statements of income (loss). Where certain qualifying criteria are met, some derivative instruments are designated as accounting hedges and are recognized at estimated fair value in derivative liabilities in the consolidated balance sheets. For derivative instruments designated as cash flow hedges, changes in fair value are initially recognized in accumulated other comprehensive income (loss) in the consolidated balance sheets and subsequently reclassified to the consolidated statements of income (loss) when the hedged item affects earnings, in the same line item where the hedged item is reported.

Derivative receivables and payables with a counterparty that are subject to an International Swaps and Derivatives Association Master Agreement ("ISDA") or other similar agreement that provides a legal right of setoff, are presented at their net amounts. Where the legal right of setoff exists, the Company also offsets the fair value of cash collateral received or posted under an ISDA, or other similar agreement with a counterparty, against the related derivative balances as appropriate.

Investment credit losses and impairment

AFS fixed maturity securities

One of the significant estimates related to AFS securities is the evaluation of those investments for credit losses. The evaluation of investments for credit losses is a quantitative and qualitative quarterly process that is subject to risks and uncertainties and involves significant estimates and judgments by management. Changes in the estimates and judgments used in such analysis can have a significant impact on the Company's consolidated statements of income (loss). Considerations relevant to the evaluation of credit losses may include the severity of any loss position, as well as changes in market interest rates, changes in business climate, management changes, litigation, government actions, and other similar factors that may impact an issuer's ability to meet current and future principal and interest obligations. Indicators of credit impairment may also include changes in credit ratings, the frequency of late payments, pricing levels, and deterioration in any, or a combination of, key financial ratios, financial statements, revenue forecasts, and cash flow projections.

For AFS fixed maturity securities in an unrealized loss position, the Company first considers the intent to sell a security, or whether it is more-likely-than-not that it will be required to sell the security, before the recovery of its amortized cost. If the Company intends to sell an AFS fixed maturity security with an unrealized loss or it is more-likely-than-not that it will be required to sell an AFS fixed maturity security with an unrealized loss before recovery of its amortized cost basis, the amortized cost is written down to fair value and a corresponding charge is recognized to net investment-related gains (losses).

Mortgage and other loan receivables

The Company updates its estimate of the expected credit losses on its investments in mortgage and other loan receivables each quarter. For loans that share similar risk characteristics, expected credit losses are measured on a pool basis. For loans that do not share similar risk characteristics, expected credit losses are measured individually. Loans subject to individual evaluation include those loans that are collateral dependent, where the borrower is experiencing financial difficulty. For these collateral dependent loans, expected credit losses are measured as the difference between the fair value of the collateral (less costs to sell, where the collateral is to be sold) and the amortized cost basis of the loan.

For commercial mortgage loans, the current expected credit losses are estimated using a model that evaluates the probability that each loan will default and estimates the amount of loss given the

occurrence of such a default over the life of each loan in the portfolio. The model incorporates historical and current data on the relevant property market and projects potential future paths for each loan's collateral, considering both the net income to be generated by the collateral real estate and its market value. The model considers how macroeconomic forecasts (such as gross domestic product, unemployment, and interest rates) influence commercial real estate market factors (including vacancy rates, rental and income growth rates, property value changes), and in turn how commercial real estate market conditions, in combination with loan specific information (including debt service coverage and loan to value), drive commercial mortgage loan credit risk.

For residential mortgage loans and consumer loans, the current expected credit losses are primarily estimated using a discounted cash flow model. The model considers loan-specific information as well as current, historical and forecasted data relevant to the respective loans, including home prices, interest rates and unemployment. Expected cash flows are projected for each loan and are discounted using the effective interest rate of the respective loan. Any shortfalls between the discounted cash flows and the amortized cost of each individual loan are aggregated to determine the total allowances on the residential mortgage loan and consumer loan portfolios. For certain residential mortgage loans secured by single-family rental properties, current expected credit losses are determined using a model consistent with that described above for commercial mortgage loans.

With regard to the use of forecasts in the determination of the Company's current expected credit losses, the reversion of forecasts to historical data is based on reversion dynamics that depend on the specific variable and its interaction with the other parameters of the respective model; however, the forecasts generally tend to revert to a long-term equilibrium trend within two to three years from the forecast start date.

For the investment in other loan receivables, a variety of methodologies are used to estimate the respective current expected credit losses. These methodologies consider the terms specific to each loan, including the value of any collateral, and evaluate the risk of loss over the life of these loans.

The Company also assesses and measures an allowance for credit losses arising from off-balance sheet commitments, including loan commitments, that are not unconditionally cancellable by the Company. This allowance for credit losses for off-balance sheet commitments is determined using methods consistent with those used for the associated mortgage and other loan receivable class, as described above, and is recognized in other liabilities in the consolidated balance sheets, since there is no funded asset for the committed amount.

When all or a portion of a loan is deemed uncollectible, the uncollectible portion of the carrying amount of the loan is charged off against the allowance. If the Company recovers all or a portion of an amount previously written off on a credit impaired loan, the recovery is recognized as a realized investment gain.

Funds withheld receivable at interest

The Company reviews its funds withheld receivable at interest for expected credit losses considering, among other things, relevant credit enhancements and collateral provisions in the reinsurance arrangements.

Real assets and other investments

The determination of the amount of impairment on other classes of investments also requires significant judgment and is based upon a periodic evaluation and assessment of known and inherent risks associated with the respective asset class. Such assessments are revised as conditions change and new information becomes available.

Impairment of consolidated real assets carried at depreciated cost is assessed whenever events or changes in circumstances indicate that the carrying amount may not be recoverable. When indicators of impairment are present, a recoverability test is performed to determine if the sum of the estimated undiscounted future cash flows attributable to the assets is greater than the carrying amount. If the undiscounted estimated future cash flows are less than the carrying amount, an impairment loss is recognized based on the amount by which the carrying amount exceeds its estimated fair value.

Impairment of investments subject to the equity method of accounting is assessed whenever events or circumstances suggest that the carrying amount may not be recoverable. An impairment charge is recognized in earnings for a decline in value that is determined to be other than temporary, and is measured as the difference between the carrying amount and the fair value of the equity method investment as of the balance sheet date.

Cash and cash equivalents

Cash and cash equivalents in the consolidated balance sheets generally include short-term highly liquid investments with a maturity of three months or less from the date of acquisition. Amounts included are readily convertible to known amounts of cash, and are subject to an insignificant risk of change in value.

Deferral and amortization of certain revenue and expenses

Deferrals

Value of business acquired ("VOBA") represents the difference between the carrying value of the purchased insurance contract liabilities at the time of the business combination and the estimated fair value of insurance and reinsurance contracts. VOBA can be either positive or negative. Positive VOBA is recorded in insurance intangibles. Negative VOBA is recorded in the same financial statement line in the consolidated balance sheets as the policy liabilities.

Amortization

VOBA is amortized on a constant level basis for the grouped contracts over the expected economic life of the related contracts. The Company amortizes VOBA for all products on a constant level basis based on policy count, except for VOBA for traditional life products that are amortized on a constant level basis based on face amount. The constant level bases used for amortization are projected using mortality and lapse assumptions that are based on the Company's experience, industry data, and other factors and are consistent with those used for the liability for future policy benefits. If those projected assumptions change in future periods, they will be reflected in the cohort level amortization basis at that time. Unexpected lapses, due to higher mortality and lapse experience than expected, are recognized in the current period as a reduction of the capitalized balances.

Amortization of VOBA is included in amortization of policyholder acquisition costs in the consolidated statements of income (loss).

The key assumptions used in the calculation of the amortization of these balances are reviewed quarterly and updated if actual experience or other evidence suggests that current assumptions should be revised. In addition, the Company formally reviews assumptions annually as part of the assumptions review process. The effects of changes in assumptions are recorded in net income (loss) in the period in which the changes are made.

Policy liabilities

Policy liabilities (or collectively, “reserves”) are the portion of past premiums or assessments received that are set aside to meet future policy and contract obligations as they become due. Interest accrues on these reserves and on future premiums, which may also be available to pay for future obligations. The Company establishes reserves to pay future policy benefits, claims, and certain expenses for its reinsured life policies and annuity contracts.

Reserves are estimates based on models that include many actuarial assumptions and projections. These assumptions and projections, which are inherently uncertain, involve significant judgment, including assumptions as to the levels and/or timing of premiums, benefits, claims, expenses, interest credits, investment results (including equity market returns), mortality, longevity, and persistency.

The assumptions on which reserves are based are intended to represent an estimation of experience for the period that policy benefits are payable. The adequacy of these reserves and the assumptions underlying those reserves are reviewed at least annually. The Company cannot, however, determine with precision the amount or the timing of actual policy benefit payments. If actual experience is better than or equal to the assumptions, then reserves would be adequate to provide for future policy benefits and expenses. If experience is worse than the assumptions, additional reserves may be required to meet future policy and contract obligations. This would result in a charge to the Company’s net income (loss) during the period in which excess policy benefits are paid, or an increase in reserves occurs.

For a majority of the Company’s in-force policies, including its universal life policies and most annuity contracts, the base policy reserve is equal to the account value. For these products, the account value represents the Company’s obligation to repay to the policyholder the amounts held on deposit. However, there are several significant blocks of business where additional policyholder reserves are explicitly calculated, including fixed-indexed annuities, variable annuities, universal life secondary guarantees, and preneed policies.

Fixed-indexed annuities

Policy liabilities for fixed-indexed annuities earning a fixed rate of interest and certain other fixed-rate annuity products are computed under a retrospective deposit method and represent policyholder account balances before applicable surrender charges. For certain fixed-rate annuity products, an additional reserve was established for above market interest rate guarantees upon acquisition. These reserves are amortized on a straight-line basis over the remaining guaranteed interest rate period.

Fixed-indexed annuities enable the policyholder to allocate contract value between a fixed crediting rate and strategies which reflect the change in the value of an index, such as the Standard & Poor’s (“S&P”) 500 Index, or other indices. These products are accounted for as investment-type contracts. The liability for these products consists of a combination of the underlying account value and an embedded derivative value.

The liability for the underlying account value is primarily based on policy guarantees, and its initial value is the difference between the premium payment and the fair value of the embedded derivative. Thereafter, the account value liability is determined using the effective yield method. All future host balances are determined as: (1) the initial host balance; (2) plus interest; (3) less applicable policyholder benefits. The interest rate used in the prior roll forward is re-determined on each valuation date, per the effective yield method. The embedded derivative component’s fair value is based on an estimate of the policyholders’ expected participation in future increases in the relevant index. The fair value of this embedded derivative component includes assumptions, including those about future interest rates and investment yields, future costs for options used to hedge the contract obligations, projected withdrawal

and surrender activity, benefit utilization, and the level and limits on contract participation in any future increases in the respective index option. The account value liability and embedded derivative are recorded in policy liabilities in the consolidated balance sheets, with changes in value of the liabilities recorded in policy benefits and claims in the consolidated statements of income (loss).

Contractholder deposit funds reserves for certain assumed blocks of fixed-indexed and fixed-rate annuity products are accounted for as investment-type contracts. A net liability (consisting of the benefit reserve plus deferred revenue liability less ceding commission paid between a ceding and assuming reinsurance company) is established at inception and amortized under the effective yield method.

Variable annuities

The Company assumes variable annuity contracts for which the liabilities are included in policy liabilities in the consolidated balance sheets. The change in the liabilities for these benefits is included in policy benefits and claims in the consolidated statements of income. Variable annuity contracts may have certain guarantees that are accounted for as market risk benefits, which are discussed in more detail below.

Funding agreements

The Company reinsures funding agreement liabilities which the cedant has issued to special purpose entities that have issued debt securities for which payment of interest and principal is secured by such funding agreements. The Company's funding agreements are considered investment type contracts and liabilities are net deposits plus accrued and unpaid interest. The Company's obligation is reported in policy liabilities in the consolidated balance sheets. Interest expense is calculated using the effective interest method and recorded in policy benefits and claims in the consolidated statements of income (loss).

Interest-sensitive life products

The Company reinsures universal life and variable universal life policies, for which the base policy reserve is the policyholder account value. These products require that the retrospective deposit method be used. The retrospective deposit method establishes a liability for policyholder benefits in an amount determined by the account or contract balance that accrues to the benefit of the policyholder.

Preneed policies

The Company's preneed life insurance contracts are accounted for as universal life-type contracts which require that the retrospective deposit method be used. This accounting method establishes a liability for policyholder benefits in an amount determined by the account or contract balance that accrues to the benefit of the policyholder. This account value is deemed to be equal to the contract's statutory cash surrender value. The majority of the Company's preneed insurance contracts feature death benefits with a discretionary death benefit growth rate. The Company has the discretion to adjust these rates up or down. The Company has established an additional reserve for expected future discretionary benefits which is reflected as policy liabilities in the consolidated balance sheets. The Company has also issued preneed insurance contracts with crediting rates tied to inflation as measured by the U.S. Consumer Price Index.

Preneed insurance contracts without a discretionary death benefit growth rate have death benefits which are fixed and guaranteed. For these contracts, the Company recognizes a liability for future policy benefits.

Traditional life and limited-payment contracts

Liability for future policy benefits

The Company reinsures traditional life and limited-payment contracts, for which the Company records a liability for future policy benefits. A liability for future policy benefits, which is the present value of estimated future policy benefits to be paid to or on behalf of policyholders and certain related expenses less the present value of estimated future net premiums to be collected from policyholders, is accrued as premium revenue is recognized. The liability is estimated using best estimate assumptions that include mortality and lapse. These assumptions are based on judgments that consider the Company's historical experience, industry data, and other factors.

Contracts are grouped into cohorts by the underlying reinsured contract type and issue year. The liability is adjusted for differences between actual and expected experience. With the exception of the expense assumption, the Company reviews its historical and future cash flow assumptions at least annually, and updates the net premium ratio used to calculate the liability each time the assumptions are changed. The Company has elected to use expense assumptions that are locked in at contract inception and are not subsequently reviewed or updated.

At least quarterly, the Company updates its estimate of cash flows expected over the entire life of a group of contracts, using actual historical experience and current future cash flow assumptions. These updated cash flows are discounted using the discount rate or curve on the original reinsurance contract issue date to calculate the revised net premiums and net premium ratio, which are used to derive an updated liability for future policy benefits. This amount is then compared to the carrying amount of the liability before the updating of cash flow assumptions to determine the current period change in liability estimate. This current period change in the liability is the liability remeasurement gain or loss, and is presented parenthetically as a separate component of benefit expense in the consolidated statements of income (loss).

The discount rate assumption is a spot rate yield curve that is derived based on upper medium grade (low credit risk) fixed-income instruments with similar duration to the liability. The Company uses one or more external indices of corporate credit issues as its proxy for these instruments. The discount rate assumption is updated quarterly and used to remeasure the liability at the reporting date, with the resulting change in the discount rate reflected in other comprehensive income (loss) ("OCI"). For liability cash flows between two market observable points on the yield curve, the Company interpolates the effective yield by holding the marginal rates constant. For liability cash flows that are projected beyond the last market-observable point on the yield curve, the Company uses the last market-observable yield level.

Payout annuities

Payout annuities include single premium immediate annuities, annuitizations of deferred annuities, pension risk transfer and structured settlements.

These contracts subject the insurer to risks over a period that extends beyond the period or periods in which premiums are collected. These contracts may be either non-life contingent or life contingent. Non-life contingent annuities are accounted for as investment contracts. For life contingent annuities, the Company records a liability at the present value of future annuity payments and estimated future expenses calculated using expected mortality and costs, and expense assumptions. Any gross premiums received in excess of the net premium is the cost of reinsurance and is recognized separately in income in a constant relationship with the discounted amount of the insurance in-force or expected future benefit payments. These liabilities are recorded in policy liabilities in the consolidated balance sheets.

Also included under payout annuities are liabilities for disability income benefits, which pertain primarily to disability income policies that are already in claim payout status. Liabilities for disability income benefits are calculated as the present value of future disability payments and estimated future expenses, using expected mortality and costs as well as interest assumptions. The liabilities are recorded in policy liabilities in the consolidated balance sheets.

Whole and term life

The Company has established liabilities for amounts payable under insurance policies, including whole life insurance and term life insurance policies. These policies provide death benefits in exchange for a guaranteed level premium for a specified period of time and, in the case of whole life, a guaranteed minimum cash surrender value. Generally, liabilities for these policies are calculated as the present value of future expected benefits to be paid, reduced by the present value of future expected net premiums. Current assumptions are used in the establishment of liabilities for future policyholder benefits including mortality, policy lapse, renewal, investment returns, inflation, expenses and other contingent events as appropriate for the respective product.

At least quarterly, the Company updates its estimate of cash flows expected over the entire life of a group of contracts, using actual historical experience and current future cash flow assumptions. These updated cash flows are discounted using the discount rate or curve on the original reinsurance contract issue date to calculate the revised net premiums and net premium ratio, which are used to derive an updated liability for future policy benefits. This amount is then compared to the carrying amount of the liability before the updating of cash flow assumptions to determine the current period change in liability estimate. This current period change in the liability is the liability remeasurement gain or loss, and is presented parenthetically as a separate component of benefit expense in the consolidated statements of income (loss).

Long-term care

Long-term care business is assumed net of inuring reinsurance contract, which cedes all mortality and morbidity risk to a third-party reinsurer, which results in an economic profile of a period certain annuity with cash flows predetermined under the reinsurance contract. Assumed long-term care business is accounted for as an investment-type product, with a contractholder deposit reserve established at inception, and amortized under the effective yield method.

Market risk benefits

The Company reinsures market risk benefits, which are contracts or contract features that both provide protection to the policy from other-than-nominal capital market risk, and expose the Company to other-than-nominal capital market risk.

Market risk benefits include certain contract features on annuity products. These features include minimum guarantees to policyholders, such as guaranteed minimum death benefits ("GMDBs"), guaranteed minimum income benefits ("GMIBs"), and guaranteed minimum withdrawal benefits ("GMWBs"). Market risk benefits are measured at fair value using a non-option valuation approach based on current net amounts at risk, market data, Company experience, and other factors. Changes in fair value are recognized in net income (loss) each period, with the exception of the portion of the change in fair value due to a change in the instrument-specific credit risk, which is recognized in OCI.

Additional liability for annuitization, death, or other insurance benefits

The Company establishes additional liabilities for contracts or contract features that provide for potential benefits in addition to the account balance but are not market risk benefits or embedded derivatives. These benefits include annuitization, death, or other insurance benefits (e.g., universal life secondary guarantees). For these benefits, the liability is the sum of the current benefit ratio multiplied by cumulative assessments and accreted interest, less excess payments.

In particular, the Company holds additional liabilities for universal life products with secondary guarantees, sometimes referred to as no-lapse guarantees. The additional liabilities are measured using the benefit ratio approach where excess benefits are spread over the life of the contract based on assessments collected from the policyholder. Generally, total expected excess benefit payments are the aggregate of death claims after the policyholder account value is exhausted. The exception is when the cost of insurance charges are insufficient to produce consistently positive earnings in the future. In this case, all death benefits are deemed to be excess benefits.

The Company recognizes a shadow reserve adjustment for the additional insurance liabilities when unrealized gains and losses are included in the investment margin while calculating the present value of expected assessments for the benefits ratios. Shadow reserve adjustments are recognized in OCI.

For additional liabilities for death or other insurance benefits, the discount rate assumption is based on the contract rate at inception. The mortality, lapse, and expense assumptions are based on Company's experience, industry data, and other factors. Assumptions are reviewed and updated, if necessary, at least annually. When those assumptions are updated, the benefit ratio and the liability are remeasured, with the resulting gain or loss reflected in policy benefits and claims in the consolidated statements of income (loss).

Outstanding claims

Outstanding claims include amounts payable relating to in course of settlement and incurred but not reported claim liabilities. In course of settlement, claim liabilities are established for policies when the Company is notified of the death of the policyholder, but the claim has not been paid as of the reporting date. Incurred but not reported claim liabilities are determined using studies of past experience and are estimated using actuarial assumptions of historical claims expense, adjusted for current trends and conditions. These estimates are continually reviewed, and the ultimate liability may vary significantly from the amounts initially recognized, which are reflected in net income (loss) in the period in which they are determined. Changes in policyholder and contract claims are recorded in policy benefits and claims in the consolidated statements of income (loss).

Reinsurance

Consistent with the overall business strategy, the Company assumes certain policy risks written by other insurance companies on a modified coinsurance or funds withheld coinsurance basis. Reinsurance accounting is applied for these assumed transactions when risk transfer provisions have been met. To meet risk transfer requirements, a long-duration reinsurance contract must transfer mortality or morbidity risks, and subject the reinsurer to a reasonable possibility of a significant loss.

With respect to ceded reinsurance, the Company values reinsurance recoverables on reported claims at the time the underlying claim is recognized in accordance with contract terms. For future policyholder benefits, the Company estimates the amount of reinsurance recoverables based on the terms of the reinsurance contracts and historical reinsurance recovery information. The reinsurance recoverables are based on what the Company believes are reasonable estimates and the balance is reported as an asset

in the consolidated balance sheets. However, the ultimate amount of the reinsurance recoverable is not known until all claims are settled.

The cost of reinsurance, which is the difference between the amount paid for a reinsurance contract and the amount of the liabilities for policy benefits relating to the underlying reinsured contracts, is deferred and amortized over the reinsurance contract period for short-duration contracts, or over the terms of the reinsured policies on a basis consistent with the reporting of those policies for long-duration contracts. Generally, the Company amortizes cost of reinsurance based on policy count or effective yield method, retrospectively calculated based on actual and projected future cash flows. Cost of reinsurance assets and liabilities are reported in insurance intangibles and policy liabilities in the consolidated balance sheets. Reinsurance contracts do not relieve the Company from its obligations to policyholders, and failure of reinsurers to honor their obligations could result in losses to the Company; consequently, allowances are established for expected credit losses, via a charge to policy benefits and claims in the consolidated statements of income (loss). The Company's funds withheld receivable at interest and reinsurance recoverable assets are reviewed for expected credit losses by considering credit ratings for each reinsurer, historical insurance industry specific default rate factors, rights of offset, expected recovery rates upon default, and the impact of other terms specific to the reinsurance arrangement.

For funds withheld and modified coinsurance agreements, the Company has the right to receive or obligation to pay the total return on assets supporting the funds withheld receivable at interest, or funds withheld payable at interest. This indirectly exposes the Company to the credit risk of the underlying assets. As a result, funds withheld and modified coinsurance agreements are viewed as total return swaps, and accounted for as embedded derivatives. Embedded derivatives are required to be separated from the host contracts and measured at fair value, with changes in fair value recognized in net income (loss). Generally, the embedded derivative is measured as the difference between the fair value of the underlying assets and the carrying value of the host contract at the balance sheet date. The fair value of the embedded derivative is included in the funds withheld receivable at interest, or funds withheld payable at interest on the consolidated balance sheets. Changes in the fair value of the embedded derivative are reported in operating activities on the consolidated statements of cash flows.

Recognition of insurance revenue and related benefits

Premiums related to whole life and term life insurance contracts and payout contracts with life contingencies are recognized in premiums in the consolidated statements of income (loss) when due from the contractholders.

Amounts received as payment for investment-type contracts are reported as deposits to contractholder account balances, and recorded in policy liabilities in the consolidated balance sheets. Revenues from these contracts consist primarily of fees assessed against the contractholder account balance for mortality, policy administration, separate account administration, and surrender charges, and are reported in policy fees in the consolidated statements of income (loss). Additionally, the Company earns investment income from the investment of contract deposits, generated through the Company's funds withheld receivable, which is reported in net investment income (loss) in the consolidated statements of income (loss).

Fees assessed that represent compensation to the Company for benefits to be provided in future periods and certain other fees are established as a unearned revenue reserve liability and amortized into revenue over the expected life of the related contracts. Unearned revenue reserves are reported in contractholder deposit funds and other policyholder liabilities in the consolidated balance sheets and amortized into policy fees in the consolidated statements of income (loss). Benefits and expenses for these products include claims in excess of related account balances, expenses for contract administration and interest credited to contractholder account balances in the consolidated statements of income (loss).

Income taxes

The Company operates in jurisdictions where they are subject to taxation. Income taxes are provided for using the asset and liability method under which deferred tax assets and liabilities are recognized for temporary differences between the financial reporting and tax basis of assets and liabilities. Such temporary differences are primarily due to the tax basis of reserves, unrealized investment gains/losses, reinsurance balances, embedded derivatives, and net operating loss ("NOL,") carryforwards. Changes in deferred income tax assets and liabilities associated with OCI are recorded directly to accumulated OCI in the consolidated balance sheets

The Company evaluates the likelihood of realizing the benefit of deferred tax assets and may record a valuation allowance if, based on the weight of all available evidence, the Company determines that it is not more-likely-than-not that some or all of the tax benefit will be realized. The Company adjusts the valuation allowance if, based on its evaluation, there is a change in the amount of deferred income tax assets that are deemed more-likely-than-not to be realized.

The Company recognizes tax positions in the consolidated financial statements only when it is more-likely-than-not that the position will be sustained on examination by the relevant taxing authority, based on the technical merits of the position. A position that meets this standard is measured at the largest amount of benefit that will more-likely-than-not be realized upon effective settlement with the related taxing authority. A liability is established for differences between positions taken on a tax return and amounts recognized in the consolidated financial statements.

The Company records the effect of changes in tax laws or rates at the date of enactment. The total effect of a tax law or rate change on the deferred tax balance is recorded as a component of tax expense related to continuing operations for the period in which the law is enacted.

Such tax changes can create disproportionate tax effects, or stranded amounts in OCI, for AFS debt securities. The Company's accounting policy for clearing disproportionate tax effects relating to AFS debt securities is the aggregate portfolio approach. Under the aggregate portfolio approach, the disproportionate tax effect remains intact as long as the investment portfolio remains.

The Company reports interest expense related to income tax matters in income tax expense (benefit), and income tax penalties in general and administrative expenses in the consolidated statements of income (loss).

Future application of accounting standards

Measurement of Credit Losses for Accounts Receivable and Contract Assets

In July 2025, the FASB issued ASU 2025-05, "Financial Instruments—Credit Losses (Topic 326): Measurement of Credit Losses for Accounts Receivable and Contract Assets" ("ASU 2025-05"). ASU 2025-05 simplifies the application of the current expected credit loss model for current accounts receivable and current contract assets under ASC 606. The update will be effective for annual periods and interim periods in annual reporting periods beginning after December 15, 2025. Early adoption is permitted. The Company is currently evaluating the impact of adopting this guidance on the Company's consolidated financial statements.

Improvements to income tax disclosures

In December 2023, the Financial Accounting Standards Board ("FASB") issued Accounting Standards Update ("ASU") 2023-09 "Improvements to Income Tax Disclosures" ("ASU 2023-09"). ASU 2023-09 intends to enhance the transparency and decision usefulness of income tax disclosures, requiring disaggregated information about an entity's effective tax rate reconciliation as well as income taxes paid. The guidance is effective for annual periods beginning after December 15, 2025, with early adoption permitted. The guidance is not expected to have a material impact on the Company's consolidated financial statements.

Determining the Accounting Acquirer in the Acquisition of a Variable Interest Entity

In May 2025, the FASB issued ASU 2025-03, "Business Combinations (Topic 805) and Consolidation (Topic 810): Determining the Accounting Acquirer in the Acquisition of a Variable Interest Entity" ("ASU 2025-03"). ASU 2025-03 requires an entity involved in an acquisition transaction effected primarily by exchanging equity interests when the legal acquiree is a variable interest entity ("VIE") that meets the definition of a business to consider factors to determine which entity is the accounting acquirer. The update will be effective for annual periods (and interim periods in annual reporting periods) beginning after December 15, 2026. The Company does not expect the adoption to have a material impact on its consolidated financial statements.

Financial Instruments—Credit Losses (Topic 326): Purchased Loans

In November 2025, the FASB issued ASU 2025-08, Financial Instruments - Credit Losses (Topic 326) - Purchased Loans. ASU 2025-08 expands the population of purchased financial assets subject to the gross-up approach in Topic 326. As a result of this update, loans (excluding credit cards) acquired without credit deterioration and deemed "seasoned" as defined in the ASU will follow the gross-up approach at acquisition and the initial allowance for credit losses is added to the purchase price to determine the amortized cost basis of the loans. The update is effective for fiscal years beginning after December 15, 2026, including interim periods within those fiscal years, and is to be applied prospectively to loans acquired on or after adoption; early adoption is permitted. The Company is currently evaluating the impact of adopting this guidance on its consolidated financial statements.

3. Sundry Assets - Line 13**Insurance intangibles**

The following reflects the reconciliation of the components of insurance intangibles to the total balance reported in the unconsolidated balance sheets as of December 31, 2025 and 2024:

	December 31,	
	2025	2024
(\$ in thousands)		
Cost-of-reinsurance intangibles	\$ 3,228,842	\$ 2,981,108
Value of business acquired	437,159	475,014
Total insurance intangibles	\$ 3,666,001	\$ 3,456,122

Deferred income taxes

Deferred income taxes reflect the net effects of temporary differences between financial reporting and tax basis of assets and liabilities. These temporary differences result in taxable or deductible amounts in future years and are measured using the tax rates and laws that will be in effect when such differences are expected to reverse. Valuation allowances are established to reduce deferred tax assets to the amount that more-likely-than-not will be realized.

The table below presents the significant components of deferred tax assets and liabilities

	December 31,	
	2025	2024
(\$ in thousands)		
Deferred tax assets:		
Insurance reserves	\$ —	\$ —
Deferred revenue liabilities	—	—
Insurance Intangibles	117,005	117,420
Investments, including derivatives	257,178	65,653
Net Operating Loss	509,335	549,541
Valuation allowance	—	—
Other	18,191	43,188
Total deferred tax assets	\$ 901,709	\$ 775,802
Deferred tax liabilities:		
Insurance Intangibles	\$ (91,183)	\$ (97,585)
Insurance reserves	(782,843)	(627,214)
Reserves Transition Adjustment (TCJA)	—	(7,993)
Investments, including derivatives	—	—
Ceding Commissions	—	—
Other	—	—
Total deferred tax liabilities	\$ (874,026)	\$ (732,792)
Total deferred tax (liability)/asset, net	\$ 27,683	\$ 43,010

Net Receivables for Investments Sold

Due to timing differences between the trade dates versus the settlement of proceeds from investments disposed, the company reported \$37,913 thousand and \$25,069 thousand receivable at December 31, 2025 and 2024, respectively.

Other sundry assets

Other sundry assets consist of the following:

	December 31,	
	2025	2024
(\$ in thousands)		
Income tax recoverable	\$ 15,618	\$ 8,670
Other assets	16,594	116,604
Total other sundry assets	\$ 32,212	\$ 125,274

4. Sundry Liabilities – Line 36

Derivative instruments

The Company enters into hedges designated to limit the volatility associated with changes in the value of general account assets or changes to net investment income (loss) as a result of interest rate or credit spread movements, while also taking into consideration economic impacts.

Credit Risk

The Company may be exposed to credit-related losses in the event of nonperformance by its counterparties to derivatives. Generally, the current credit exposure of the Company's derivatives is limited to the positive fair value of derivatives less any collateral received from the counterparty.

The Company manages the credit risk on its derivatives by entering into derivative transactions with highly rated financial institutions and other creditworthy counterparties and, where feasible, by trading through central clearing counterparties. The Company further manages its credit risk on derivatives via the use of master netting agreements, which require the daily posting of collateral by the party in a liability position. Counterparty credit exposure and collateral values are monitored regularly and measured against counterparty exposure limits. The provisions of derivative transactions may allow for the termination and settlement of a transaction if there is a downgrade to the Company's financial strength ratings below a specified level.

The fair value and notional value of the derivative assets and liabilities were as follows:

	As of December 31, 2025			
	Gross Notional	Fair Value		
		Assets	Liabilities	
(\$ in millions)				
Derivatives Designated as Hedge Accounting Instruments:				
Interest rate contracts	\$ 209	\$ —	\$ 20	
Foreign currency contracts	219	1	5	
Total Derivatives Designated as Hedge Accounting Instruments	428	1	25	
Derivatives Not Designated as Hedge Accounting Instruments:				
Interest rate contracts	1,292	—	65	
Foreign currency contracts	213	—	1	
Total Derivatives Not Designated as Hedge Accounting Instruments	1,505	—	66	
Total Derivatives after Collateral	\$ 1,933	\$ 1	\$ 91	

Global Atlantic Re Limited**(a wholly-owned subsidiary of Global Atlantic Limited (Delaware))****Additional Disclosures to the Statutory Financial Statements**

	As of December 31, 2024			
	Gross Notional	Fair Value		
		Assets	Liabilities	
(\$ in millions)				
Derivatives Designated as Hedge Accounting Instruments:				
Interest rate contracts	\$ 120	\$ —	\$ 18	
Total Derivatives Designated as Hedge Accounting Instruments		—	18	
Derivatives Not Designated as Hedge Accounting Instruments:				
Interest rate contracts	1,380	—	93	
Total Derivatives Not Designated as Hedge Accounting Instruments	1,380	—	93	
Cash collateral	—	—	(16)	
Total Derivatives after Collateral	\$ 1,500	\$ —	\$ 95	

5. Contributed Surplus - 8SFS Line 1(b)

The change in contributed surplus is due to \$634,830 thousand of capital contributions from the Company's parent.

6. Change in any other Statutory Capital and Surplus - Form 8SFS, Line 2g

Effective January 1, 2023, the Company adopted new accounting guidance for insurance and reinsurance companies that issue long-duration contracts ("LDTI"). With LDTI, the discount rate assumptions on liabilities for future policy benefits is updated quarterly and used to remeasure the liability at the reporting date, with the resulting change in the discount rate reflected in other comprehensive income. Market risk benefits are also measured at fair value using a non-option and option valuation approach based on current net amounts at risk, market data, experience, and other factors. Changes in the fair value due to a change in the instrument-specific credit risk, is recognized in other comprehensive income. The changes in other comprehensive income are reflected in Line 2g.

7. Reconciliation of U.S. GAAP to Statutory Capital and Surplus - Form 8SFS, Line 4

The following reflects other changes to Statutory Capital and Surplus:

(\$ in thousands)	As of December 31,	
	2025	2024
U.S. GAAP Shareholders Equity	\$ 4,401,263	\$ 3,228,870
DIG B36	945,395	1,237,079
Deferred Tax Asset and Other	(178,308)	(241,125)
Bermuda Statutory Capital and Surplus	\$ 5,168,350	\$ 4,224,824

The primary difference between the Company's U.S GAAP shareholders equity and statutory capital and surplus of \$767,087 thousand and \$995,954 thousand thousand at December 31, 2025 and 2024, respectively, is the Company's Section 6C of the Insurance Act of 1978, exemption from application of Financial Accounting Standard 133 DIG Issue B36 to its statutory financial statements, a modification that permits the Company to not measure the embedded derivative included within certain funds withheld coinsurance agreements at fair value.